

THE UNIVERSITY OF ZAMBIA
ECONOMICS DEPARTMENT
ECN 1215 TUTORIAL SHEET THREE

1. What are the main causes of demand pull inflation?
2. Illustrate demand pull inflation on a well labelled graph.
3. What are the main causes of cost push inflation?
4. Illustrate cost push inflation on a well labelled graph.
5. In Zambia, many firms import the raw materials that they use in their production processes. Over the months, the exchange rate has been depreciating thereby making these imported raw materials more expensive. In light of this, many economists have advocated for a switch from imported to local raw materials to avoid inflation.
 - a) What type of inflation is associated with more expensive raw materials?
 - b) List and explain the 3 other main factors that may cause the inflation above.
 - c) List three effects of inflation and explain.
6. The government of the Republic of Zambia has decided to reduce interest rates and reduce direct taxes in an effort to boost economic growth.
 - a) What type of inflation could this move cause?
 - c) List the 4 main the factors that may cause the inflation above.
7. What is stagflation?